The Short, the Long, and the Consequences of VAR Analysis For Structural DSGE Estimation

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Abstract

Truncation bias could be a severe problem regarding structural VAR analysis (De Greave and Westermark) (DGW2025) claims that the role of lag choice in SVAR is crucial to correctly identify IRFs, and they claim that choosing long lags solve the bias and, surprisingly, this reduce the variance of the point estimate. CEE2005 is a classic paper that studies the effects of monetary policy shock in the economy. Particularly their DSGE is calibrated ex-ante using matching the model's IRFs with the ones estimated from the VAR analysis. The aim of this thesis is to perform the (DGW2025) exercise, see if and how the IRFs changes, analys how the DSGE model calibration vary and if the model is consistent to this new empirical way to estimate the VARs. If so, we want to understand more about the claimed variance reduction caused by the solution of the truncation bias how works in the Frequentist and Bayesian world.

Contents

1 Introduction **3**

1.1 Research Question 3

2 Theoretical Framework **3**

3 Methodology **3**

4 Empirical Results **3**

5 Conclusion **3**

A Replication Files and Code **4**

B Additional Figures and Tables **4**

1 Introduction

Provide the background of your topic, state the research problem, and outline the structure of your thesis here. Maybe I have switched the latex writing in VS Code

1.1 Research Question

Clearly define what your thesis aims to solve or investigate.

2 Theoretical Framework

Discuss the existing literature and the theoretical models that underpin your research.

3 Methodology

Explain the empirical strategy, models, and data you are using.

4 Empirical Results

Present your findings, regression tables, and graphs here.

5 Conclusion

Summarize the main takeaways, discuss the policy implications, and mention any limitations of your work.

A Replication Files and Code

Detail where the reader can find your code (e.g., a GitHub link).

B Additional Figures and Tables

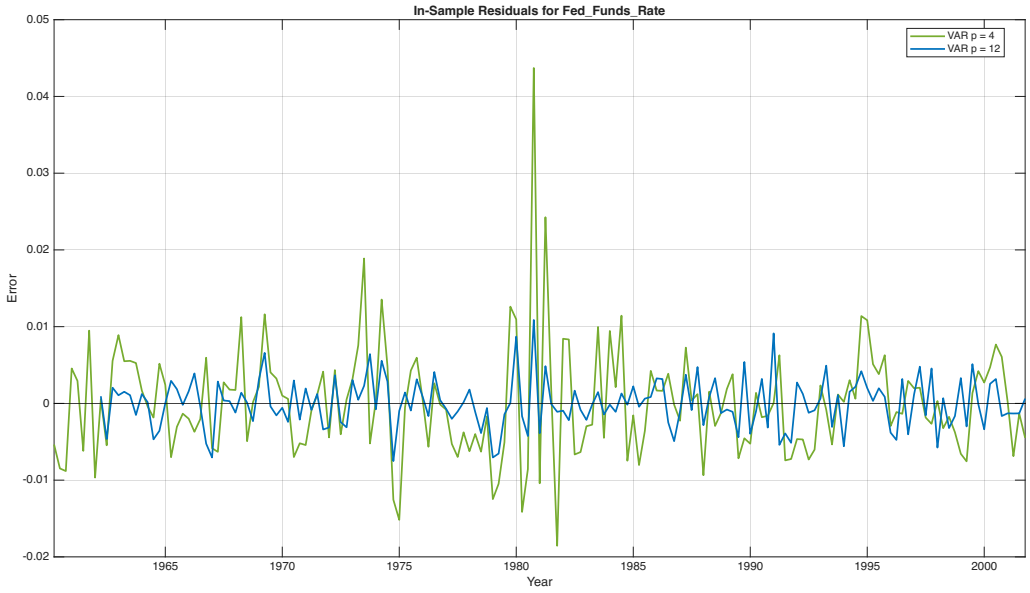

Figure 1: In-Sample Residuals for the Federal Funds Rate. If this renders, the pathing is correct.